

LIMURU TEA COMPANY LIMITED

P. O. BOX 42011, Nairobi 00100, Kenya

Telephone: 020 2489737/41

22nd August 2016

Chief Executive Officer,
Capital Markets Authority,
Embankment Plaza, 3rd Floor,
Longonot Road, Upperhill,
Nairobi

Dear Sir,

RE: ANNOUNCEMENT OF RESULTS FOR THE 6 MONTHS ENDED 30TH JUNE 2016

At their Board Meeting on 22nd August 2016, the Directors of Limuru Tea Company Limited approved the Company's unaudited trading results for the six months ended 30th June 2016.

Yours faithfully,
Limuru Tea Company Limited


Alison I.N. Kariuki
Company Secretary

✓ cc The Chief Executive
Nairobi Securities Exchange
The Exchange, Westlands Road
Nairobi



LIMURU TEA COMPANY LIMITED

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2016.

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30th June 2016.

STATEMENT OF FINANCIAL POSITION	As At 30.06.16		As At 30.06.15
CAPITAL EMPLOYED	Shs'000		Shs'000
Share capital	24,000		24,000
Retained Earnings & reserves	230,260		226,515
Profits for the period	4,373		3,640
Proposed dividend	-		-
Total equity	258,633		254,155
Non Current Liabilities			
Deferred income tax	39,227		50,554
Post employment benefit obligation	20,471		20,123
	59,698		70,677
Total equity and Non Current Liabilities	318,331		324,832
REPRESENTED BY			
Non Current Assets			
Property, plant and equipment	11,067		15,991
Biological assets	176,278		196,702
	212,693		212,693
Current Assets			
Receivables	159,240		121,862
Current income tax-Asset	-		-
Cash at bank and in hand	7,248		7,554
Inventory	466		202
	166,955		129,618
Current Liabilities			
Trade and other payables	25,855		15,581
Current income tax-Liability	10,115		1,628
	35,969		17,479
Net Current Assets	130,986		112,140
	318,331		324,832

CONDENSED STATEMENT OF CASH FLOWS			
	As at 30.06.16		As at 30.06.15
	Shs '000		Shs '000
Net cash from operating activities	7,405		7,050
Net cash used in investing activities	(8,817)		(6,168)
Net cash used in financing activities			(1,200)
Decrease in cash and cash equivalents	(1,413)		(318)
Movement in cash and cash equivalents			
At start of year	8,661		7,872
Increase	(1,413)		(318)
At end of June	7,248		7,554

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	Jan-June 2016 Shs '000		Jan-June 2015 Shs '000
Turnover	59,276		42,372
Profit before income tax	6,247		5,201
Income tax (expense)	(1,874)		(1,560)
Profit attributable to the shareholders	4,373		3,640
Issued shares of Kshs. 20 each	1,200,000		1,200,000
Earnings per share (Shs)	3.64		3.03
Total Dividends per share (Shs)	-		-

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2015	24,000	226,516	1,200	251,716
Total recognized income for 2015	-	3,640	-	3,640
Dividends				
-Final paid For 2014			(1,200)	(1,200)
-Proposed final for 2015		-	-	-
Balance as at 30 th June 2015	24,000	230,156		254,156
Balance at 1 January 2016	24,000	227,860	2,400	254,260
Total recognized income for 2016	-	4,373	-	4,373
Dividends				
-Final paid For 2015			-	-
-Proposed interim for 2016		-	-	-
Balance as at 30 th June 2016	24,000	232,233	2400	258,633

LIMURU TEA COMPANY LIMITED

COMMENTARY

Performance

In the first half of 2016, the company produced 1,764 Tones of green leaf, which in turn was manufactured into 390 Tons of black tea. This was a 22% increase in Made Tea volumes compared to the first half of 2015.

Total revenues increased by 40% to Kes 59 million in the period compared to Kes 42 million realised in the same period of 2015. This increase in the first half of 2016 was due to the increased volumes as a result of favourable weather conditions and better price in the same periods under review.

The company posted a pre-tax profit of Kes 6.2 million in the first half of 2016 compared to Kes 5.2 million in 2015. The higher profit was largely because of the increased volumes and better price in the first half of 2016 which positively impacted on the Turnover.

Dividend

The Directors do not recommend an interim dividend.

Prospects

The first half of 2016 experienced favourable weather conditions which positively impacted on volumes.

If good weather conditions continue into the rest of the year, the full year crop is expected to be higher than last year but prices are likely to maintain a downward trend. The 2016 performance therefore is expected to be modest.

Duncan Stickler

CHAIRMAN

22nd August 2016